ESG **85/100** LEADER

EQUITY NOTE · SPORTSWEAR · 11 NOVEMBER 2026

adidas

ADS GY · Xetra, Frankfurt · ISIN DE000A1EWWW0 · Footwear, apparel and accessories for sport and lifestyle

A record third quarter beat the consensus by 36% and lifted the profit outlook. Part of the beat is a one-off tariff refund, but even without it the quarter was 9% above forecasts. The shares are up 22% since the end of September and still price in less margin than adidas earned before 2020.

RATING

Buy

Target price	€230
Price (11/11/2026)	€177.10
Potential	+30%
P/E 2026E	18.3x

01 Investment thesis

We initiate on adidas with a BUY rating and a target price of €230, 30% above the 11 November close of €177.10. On the evening of 20 October adidas reported a record third-quarter operating profit of €1,008m, against a consensus of €742m, and raised its 2026 profit outlook to about €2.5bn from about €2.3bn. About €200m of the beat came from a refund of US tariffs, so the market first reacted calmly. The shares then rose 5.8% on 29 October, when the full report showed the quality of the quarter, and have gained 22% since the end of September.

Three reasons

- **The underlying beat is real.** Without the refund, the Q3 operating profit was about €808m, still 9% above the consensus (J.P. Morgan). Direct-to-consumer sales grew 17%, the gross margin excluding the refund was about 51.6%, and inventories fell 4% from the second quarter.
- **The margin has room to recover.** The 2026 operating margin is about 9.3% including the refund, against 11.3% in 2019. Management targets more than 10% in 2028 and mid-teens profit growth a year from 2025 to 2028. Our base case reaches 11.0% in 2030 and stays there.
- **The price assumes little of this.** At €177.10 the shares trade at 15.8x our 2027E earnings and 9.7× 2026E EBITDA, below the peer medians of 19.4x and 14.0x. The price implies a discount rate of 10.4%, against our WACC of 8.9%. Free cash flow over the last twelve months was €2.6bn, a yield of 8.6%.

> WHAT WOULD MAKE US WRONG
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> Lifestyle footwear, the business built on the Samba and other classics, is flat and the market for it is promotional. Europe, the largest region, fell 4% in Q3. If the classics cycle ends and Nike recovers, growth could fall to mid-single digits and the margin could stall near 9%: that is our bear case, worth €154, or 13% below the price. US tariffs and a strong euro are a running cost of about €400m this year, and the €200m refund will not repeat.

INDICATOR	VALUE	BASIS
P/E 2026E	18.3x	Our EPS €9.68 (consensus €9.57, giving 18.5x); includes the tariff refund
P/E 2027E	15.8x	Our EPS €11.18 (consensus €11.73)
EV / EBITDA	9.7x	2026E EBITDA €3.66bn; EV €35.6bn including leases and minorities
EV / Sales	1.32x	2026E revenue €27.0bn
Free cash flow yield	8.6%	Last twelve months €2.62bn; FY2025 only €388m because of inventory build
Dividend yield	1.6%	€2.80 per share paid in May 2026, plus a €1bn buyback in 2026

02 The surprise: a record quarter, with a refund inside

adidas published preliminary figures after the market close on 20 October, nine days before its full report. Sales rose 9% to a record €7,252m, or 7% in local currencies. The operating profit rose 37% to €1,008m, a margin of 13.9%, against a consensus of €742m compiled by the company. The gross margin rose 2.5

points to 54.3%. Net income from continuing operations rose 48% to €711m and earnings per share reached €4.06, against €2.57 a year earlier.

The market was careful at first. The shares closed 0.1% higher on 20 October and 1.7% higher on 21 October, because analysts such as Metzler pointed out that the higher outlook mostly reflected the one-off refund of about €200m. The full report on 29 October changed the tone: J.P. Morgan noted that the profit beat was still about 9% without the refund, DTC grew 17% and inventories were cut. The shares rose 5.8% that day and another 4.9% on 4 November. Of the €200m higher outlook, €100m is the refund net of a €100m reinvestment in Q4, and €100m comes from the business itself.

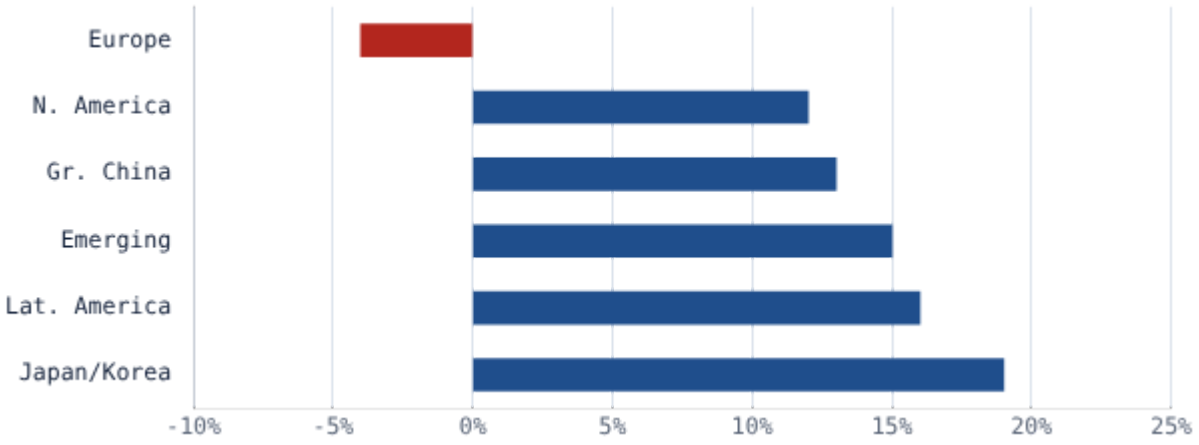
Exhibit 1 **adidas share price, month-end close, November 2025 to November 2026 (€)**



Yahoo Finance, Xetra. The last point is the close of 11 November 2026. November 2025 is derived from the adjusted close; dividends not included.

Q3 2026	ACTUAL	CONSENSUS / PRIOR	COMMENT
Sales (€m)	**7,252**	**6,630 (Q3 2025)**	**+9%; +7% in local currencies; record quarter**
Gross margin	54.3%	51.8% (Q3 2025)	Includes about €200m of US tariff refunds
Operating profit (€m)	1,008	742	Beat by 36%; about €808m and +9% without the refund
Operating margin	13.9%	11.1% (Q3 2025)	Highest quarterly profit on record
Net income, continuing (€m)	711	482 (Q3 2025)	EPS €4.06 against €2.57
Inventories (€m)	5,739	about 5,980 (30 June)	−4% on the quarter; +5% on the year
2026 operating profit guidance	about €2.5bn	about €2.3bn	Raised on 20 October
2026 sales guidance (local currencies)	+9% to +10%	high single digit	About €2.5bn of extra sales in euros

Exhibit 2 **Q3 2026 sales growth by region, local currencies**



adidas Q3 2026 release. Europe was hit by cautious wholesale sell-in and an ERP migration that moved deliveries into Q4.

Growth came from apparel (+19% in local currencies) and from the company's own channels: e-commerce rose 18% and own retail 16%. Footwear was flat because adidas kept wholesale orders low to avoid discounts in lifestyle footwear, where retailers hold too much stock. Wholesale rose only 2%.

Every region except Europe grew by double digits. Europe fell 4%, partly because a planned SAP migration delayed shipments at the end of September; the company expects high single-digit growth in Europe in Q4. The 30 June inventory figure in the table is derived from the 4% fall the company reports.

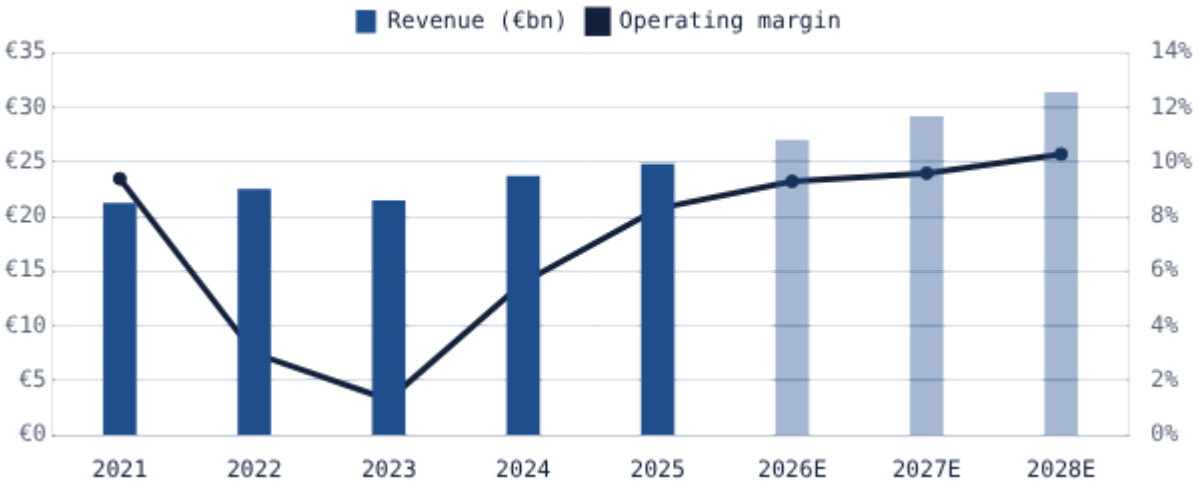
03 History and estimates

adidas reached an operating margin of 11.3% in 2019, then lost most of it in four years: the pandemic in 2020, the loss of share in China, and the end of the Yeezy partnership in October 2022. Reebok was sold to Authentic Brands in 2022, which is why the figures from 2021 exclude it. In 2023, under the new chief executive Bjørn Gulden, the margin fell to 1.3% and the group made a small loss. Since then sales have grown at a high single-digit rate in local currencies and the margin has rebuilt to 8.3% in 2025, without any Yeezy sales. The workforce is 64,394.

€M, EXCEPT PER SHARE	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Revenue	**21,234**	**22,511**	**21,427**	**23,683**	**24,811**	**27,000**	**29,160**	**31,350**
Growth	n/a	+6.0%	−4.8%	+10.5%	+4.8%	+8.8%	+8.0%	+7.5%
Operating profit	1,986	669	268	1,337	2,056	2,500	2,799	3,229
Operating margin	9.4%	3.0%	1.3%	5.6%	8.3%	9.3%	9.6%	10.3%
Net income (group share)	2,116	612	−75	764	1,340	1,660	1,890	2,207
EPS (€)	10.90	3.34	−0.42	4.28	7.50	9.68	11.18	13.25
Dividend per share (€)	3.30	0.70	0.70	2.00	2.80	3.50	4.00	4.75
Free cash flow	2,698	−983	2,187	2,491	388	n/a	1,624	1,940
Adjusted net borrowings, year-end	n/a	n/a	n/a	3,622	4,331	4,646 (Q3)	n/a	n/a

A = reported. Revenue and operating profit from company releases; net income and EPS from StockAnalysis (group share, including discontinued operations: 2021 includes the Reebok gain). On the company's continuing basis, 2025 EPS was €7.46. E = Puccetti Capital Research estimate. Free cash flow for 2021A-2025A is operating cash flow less capex (StockAnalysis); 2027E-2028E is unlevered free cash flow from our DCF. Dividends 2026E-2028E assume a 36% payout. Adjusted net borrowings include lease liabilities.

Exhibit 3 **Revenue (€bn) and operating margin**



Key events and investments

- **2021-2022:** Reebok sold to Authentic Brands; €2.5bn of buybacks in 2022, just before profits fell.
- **October 2022:** the Yeezy partnership ends; the remaining stock is sold over 2023-2024 (about €650m of sales in 2024).
- **January 2023:** Bjørn Gulden, previously at Puma, becomes chief executive.
- **March 2026:** targets of high single-digit growth a year to 2028 and a margin above 10% in 2028; €1bn buyback launched.

- **June-July 2026:** FIFA World Cup with an all-adidas final; marketing peaks in Q2-Q3.
- **Investments:** capex of €363-504m a year since 2021 (€477m in 2025 on the company's definition), half in own stores and shop-in-shops, the rest in IT and logistics.

Our 2026E and 2027E revenues are in line with the consensus (€27.13bn and €29.17bn). Our 2027E EPS of €11.18 is 5% below the consensus of €11.73, because we assume no repeat of the refund and a slower Europe. Our view differs from the market on the later years, not on next year.

04 Cash flow and balance sheet

€M	2023A	2024A	2025A	LTM Q3
Operating cash flow	2,550	2,910	751	2,997
Capex	−363	−419	−363	−378
Free cash flow	**2,187**	**2,491**	**388**	**2,619**
Dividends paid	−125	−125	−357	−491
Share buybacks	−29	−35	−43	−1,043
Adjusted net borrowings	n/a	3,622	4,331	4,646

Cash flow swings with inventory. In 2025 operating cash flow fell to €751m because inventories rose 17% to €5.8bn ahead of the World Cup. In the twelve months to September the stock was sold and free cash flow returned to €2.6bn, enough to pay €491m of dividends and buy back €1bn of shares. The buyback cancelled 6.0m shares and reduced the count to 172.4m.

Adjusted net borrowings were €4,646m at 30 September, or 1.3x EBITDA. This figure includes €2,905m of lease liabilities. Without leases, net financial debt is about €1.74bn.

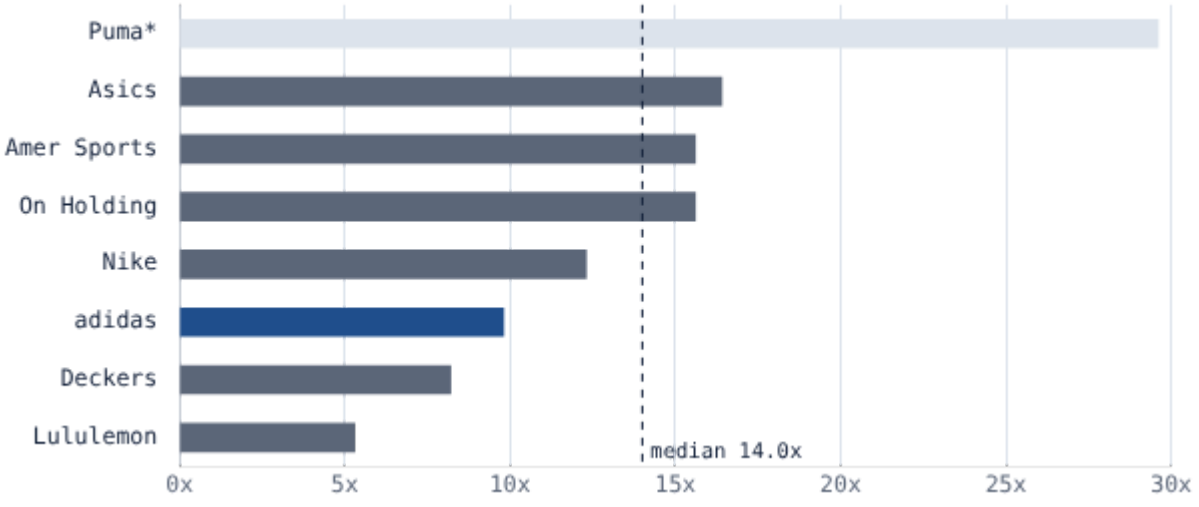
Equity was €6.66bn at 30 September, including €405m of minorities. In the DCF we treat leases as operating costs (they are already inside the operating profit), so we deduct only the €1.74bn of net financial debt and the €405m of minorities. For the EV/EBITDA comparison, where EBITDA is before lease costs, we deduct the full €4.65bn. We use the 30 September balance sheet and give no credit for the Q4 cash inflow, which is normally strong.

05 Trading comparables

COMPANY	COUNTRY	EV/EBITDA	P/E (FWD)	EV/SALES	OP. MARGIN
adidas	**Germany**	**9.8x**	**15.9x**	**1.33x**	**9.2%**
Nike	United States	12.3x	29.4x	1.31x	9.0%
Asics	Japan	16.4x	26.1x	3.69x	19.3%
Amer Sports	Finland / US	15.6x	21.2x	2.54x	13.0%
On Holding	Switzerland	15.6x	17.5x	2.70x	15.3%
Lululemon	United States	5.3x	12.7x	1.14x	16.6%
Deckers	United States	8.2x	11.3x	2.03x	23.6%
Puma (not in medians)	*Germany*	*29.6x*	*n/m*	*0.90x*	*−3.1%*
Median (six peers)		**14.0x**	**19.4x**	**2.29x**	**15.9%**
Lower / upper quartile		9.2x / 15.6x	13.9x / 24.9x	n/a	n/a

StockAnalysis statistics pages, 11 November 2026 (US prices intraday): last-twelve-month EBITDA and sales, consensus forward P/E. Puma is excluded from the medians because it is loss-making, which inflates its EV/EBITDA. Accounting differences (IFRS against US GAAP leases) are not adjusted.

Exhibit 4 **EV/EBITDA, adidas against peers**



adidas trades at 9.8x EBITDA, 30% below the median of six peers, and at 15.9x forward earnings against 19.4x. Asics, Amer Sports and On grow faster and earn higher margins, so a full peer multiple is too much for adidas. Nike, the closest peer by size and margin, trades at 12.3x.

We therefore use the median as the central value and show the range from the lower to the upper quartile. At the median, last-twelve-month EBITDA of €3.59bn

gives €261 per share, and our 2027E EPS of €11.18 at 19.4x gives €216. At the lower quartile the values fall to €162 and €155, close to the price.

06 DCF: Base, Bull and Bear

PARAMETER	VALUE
Risk-free rate (German 10-year Bund, 9 Nov)	3.25%
Equity risk premium	5.50%
Beta (5-year 1.13, Blume-adjusted)	1.09
Cost of equity	9.2%
Cost of debt after tax (4.0% pre-tax)	3.0%
Weights equity / debt (market)	94.6% / 5.4%
WACC	**8.9%**
Tax rate	25%
D&A / capex / working capital	1.8% / 1.8% / 22% of extra sales

SCENARIO	SALES 2030	MARGIN	G	VALUE
Bear	€32.4bn	9.0%	2.0%	€154
Base	**€35.4bn**	**11.0%**	**2.5%**	**€224**
Bull	€37.2bn	12.2%	3.0%	€288

The model runs nine full years, 2027 to 2035, from a 2026E base of €27.0bn of sales and €2.5bn of operating profit, with mid-year discounting from 11 November 2026. In the base case sales grow 8% in 2027 and 7.5% in 2028, in line with the company's high single-digit target, then slow to 3% in 2035. The operating margin rises from 9.6% in 2027 to 11.0% in 2030 and stays there, slightly below the 2019 level. D&A and capex exclude leases, which stay inside the operating profit. Enterprise value is €40.8bn, 63% from the terminal value. After €1.74bn of net financial debt and €0.41bn of minorities the equity is worth €38.6bn, or €224 per share. The implied exit multiple is 8.5x EBITDA including leases, below today's 9.7x. Weighting the scenarios 25/50/25 gives €223.

The bear case keeps growth near 5% and the margin at 9.0%, where it is today without the refund: it is worth €154. The bull case has a margin of 12.5% from 2031, close to Asics and On today, and is worth €288. Each point of margin in the long run is worth about €20 per share, which makes the margin, not the discount rate, the main driver of the value. The price of €177.10 implies a discount rate of 10.4% in the base case.

Exhibit 5 **Sensitivity: base-case value per share (€) by WACC and terminal growth**

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
7.9%	243	255	270	288	309
8.4%	223	233	245	259	276
8.9%	206	215	**224**	235	249
9.4%	192	198	206	215	226
9.9%	178	184	191	198	207

Every cell is above the price of €177.10. The price is reached at a WACC of about 10.4% with 2.5% growth, or with a long-run margin near 9%.

07 Target price and recommendation

Exhibit 6 **Valuation range by method (€ per share)**



Bars: low to high. Dot: central value. Dashed line: price €177.10. Solid line: target €230.

METHOD	CENTRAL	WEIGHT	LOW	HIGH	POTENTIAL
DCF (scenarios 25/50/25)	€223	60%	€154	€288	+26%
Peers EV/EBITDA (median; quartiles)	€261	20%	€162	€296	+47%
Peers P/E on 2027E (median; quartiles)	€216	20%	€155	€278	+22%
Dividend model (memo)	*€95*	*0%*	*n/a*	*n/a*	*–46%*
Target price (weighted, rounded)	**€230**	**100%**			**+30%**

The weighted value is €229.0, which we round to €230. The dividend model is a memo: with a payout of 36% of our 2027E EPS, dividend growth of 12% for five

years and then 3%, and a cost of equity of 9.2%, it gives €95. It misses because adidas returns as much cash through buybacks (up to €1bn a year to 2028) as through dividends, so we give it no weight. All three main methods give more than 20% of upside at their central value. Only the lower quartile of peers, the bear case and the low end of analyst targets sit below the price.

> RECOMMENDATION · BUY · TARGET €230
>
> Our target is 16% above the consensus average of €198.47 (32 analysts at StockAnalysis, 15 Strong Buy, 9 Buy, 7 Hold, 1 Strong Sell) and inside the range of €156 to €245. Bernstein has €245; UBS, the most cautious, cut to €156 on 3 November. Our near-term earnings are in fact slightly below the consensus. The difference is the long run: we think a margin of 11% is reachable once tariffs and lifestyle footwear normalise, because adidas earned 11.3% in 2019 and now sells far more through its own channels. We would turn neutral if the Q4 report on 3 March 2027 shows Europe still falling, or if 2027 guidance puts the operating margin below 9.5%.

08 Risks and catalysts

Downside risks to our view

- **Lifestyle footwear.** The terrace and low-profile classics carried growth in 2024-2025. The market is now promotional and adidas footwear is flat. A longer downturn would cut both growth and gross margin.
- **Tariffs and currency.** Higher US tariffs and a strong euro cost about €400m in 2026. The €200m refund is a one-off.
- **Competition.** Nike is in a reset and could regain share; On, Asics and Hoka continue to take share in running.
- **Europe.** Sales fell 4% in Q3. The company blames timing and cautious sell-in; a second weak quarter would point to demand.
- **Governance.** In July 2025 adidas opened an internal investigation after a whistleblower alleged kickbacks in its China business. We found no outcome.
- **Margin assumption.** Each point of long-run margin is worth about €20 per share in our base case.
- **ESG.** Our ESG score is 85/100 (Leader): MSCI AAA, CDP Climate A and a low Sustainalytics risk, less 5 points for a 2025 court ruling against a climate claim

in its advertising.

Catalysts

- **Christmas trading and Q4 Europe,** where the company expects high single-digit growth after the ERP delay.
- **Full-year 2026 results and 2027 guidance:** listed for 3 March 2027 by MarketScreener, not confirmed by the company.
- **Share buybacks:** the board may buy back up to €1bn in each of 2027 and 2028, subject to cash flow.
- **Annual general meeting in May 2027:** dividend for 2026, which we estimate at €3.50.
- **Q1 2027 results,** listed for 26 April 2027 by MarketScreener.

Method and sources. Reported figures from adidas releases (Q3 2026, FY2025) and StockAnalysis; consensus from S&P Global via StockAnalysis and, for the Q3 operating profit, the company-compiled consensus quoted by Reuters. Estimates, scenario values and the equity bridge are Puccetti Capital Research estimates. Peer data from StockAnalysis on 11 November 2026, not adjusted for accounting differences. The Bund yield of 3.25% is the 9 November reading reported by Trading Economics. Prices: Xetra closes via Yahoo Finance; the November 2025 month-end is derived from the dividend-adjusted series. The ex-refund Q3 profit of about €808m is derived from J.P. Morgan's statement that the beat was 9% without the refund.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in adidas. Not investment advice.

1. Q3 2026 results release · ad hoc release, 20 October · FY2025 results and mid-term targets
2. Reuters via Euronext, share reaction and consensus · Investing.com, Q3 call · FashionUnited, outlook
3. ADS statistics · financials · cash flow · forecast · Yahoo Finance prices · Bund yield
4. Peers: Nike · Asics · Amer Sports · On Holding · Lululemon · Deckers · Puma
5. ESG: 2025 annual report (MSCI) · KnowESG (CDP, SBTi) · Sustainalytics via Yahoo Finance · climate-claim ruling · 2025 emissions · calendar